Excercise: Short term decisions – Parker's

Parker's is a Neapolitan tailoring company that produces two products: shirts (C) and polo shirts (P). To meet customer expectations and ensure product quality for 2025, the company has hired a tailoring consultant, Elena, responsible for overall product quality control (permanent contract with an annual salary of €60,000).

	C	P
Price	180 €/u	130 €/u

Table 1 - Prices forecast: June 2025

The production process is largely manual for all product types. Workers are hired on a job-on-call basis (costing €20/hour) and work on specific components for shirts and polo shirts. In addition, there is a machine supporting model design, purchased in 2023 for a total cost of €50,000 (depreciation plan of 8 years), currently underutilized and operating with hourly capacity equivalent to the job-on-call workers.

Data on costs and processing times for each product in Department 1 are reported in Table 2:

	C	P
Time for production	120 min/u	100 min/u
Costs of raw materials	30 €/u	35 €/u
Costs of energy	1 €/u	1 €/u
Costs of other direct raw materials	2 €/u	4 €/u
Costs of packaging materials	1.5 €/u	1 €/u

Table 2 – Processing time and costs per products

The company employs 3 tailors, each with an annual salary of €48,000 and a monthly working time of 210 hours. Production is allocated as follows: 70% shirts and 30% polo shirts.

In addition:

- Parker's tailoring workshop is owned and was purchased in 1981 for €100,000.
- The company employs 2 supervisory tailors, each costing €25,000 per year (fixed consultancy fee).
- Administrative costs amount to €24,000 per year.

Required to-dos:

1. Calculate the unit contribution margin for each product.
2. Determine the break-even point considering the production mix indicated
3. Determine the break-even point assuming no production constraints.